

PFM 207 Course Outline

PFM 207 — Wage Bill and Recurrent Expenditure

Course Outline

School	02 — Macroeconomics and Public Finance
Level	200 (analyst / practitioner)
Hours	30 (indicative band 24–32)
Shape	5 modules · 10 sessions · 6 laboratories · 4 assignments · 1 final assessment
Delivery	Instructor-led — online, blended or in person
Prerequisites	EDIS 101. PFM 204 is assumed: every figure in this course is derived from the analytical classification that course teaches, and the distinction between an appropriation class and an analytical class is the spine of Part I. PFM 205 and PFM 206 are useful for Part IV and are summarised where needed. No programming is required: every laboratory can be done in a spreadsheet.
Assessment	Pass 60 %, with 60 % laboratory competency
Version	1.0 · reviewed 2026-08-24 · 12-month cycle

What this course is

PFM 207 teaches the wage bill and the recurrent budget of a government, using the Utopia FY2026/27 approved budget as its reference. It has no engine of its own: every figure is derived from the published exports of three modules that do have one — the Budget module’s classified warehouse (PFM 204), the UCSN parameter service (PFM 205) and the Budget Output Engine (PFM 206) — so that all four courses agree to the dollar.

It turns on one fact. “The wage bill” has four defensible answers in the same budget: a central payroll of 6.425 tn, an appropriated wage line of 9.709 tn, an analytical wage of 10.471 tn, and compensation of employees on the GFS definition of 12.116 tn. They differ by 5.691 tn, or 89 % of the smallest, and each is the right answer to a different question. A figure quoted without saying which is not a wage bill; it is a number that happens to be about wages.

This is PFM 204’s distinction, applied to wages. The appropriation class says HOW Parliament appropriated the money. The analytical class says WHAT the money buys.

Who it is for

Budget analysts and wage-bill units in ministries of finance; public service commissions and payroll managers; sector planning officers negotiating establishment; monitoring and evaluation staff reconciling recurrent spending with delivery; and anyone who has been asked what the wage bill is and given a number without a definition.

What this course does not claim

This course does not forecast. The forward wage path, the ceilings and the medium-term scenario belong to PFM 203.

Structure

Module	Title	Sessions	Laboratory	Hours
M1	The four wage bills; The anatomy of a wage bill	01–03	01, 03	9.1
M2	The rest of the recurrent budget	04–05	02, 04	6.9
M3	The forward call	06	05	3.7
M4	The sectors	07–08	02, 05	3.4
M5	Practice	09–10	05–06	4.9
ASM	Assessment and revision	—	—	2.0
	Total	10	6	30.0

The 10 sessions and 6 laboratories, in teaching order, and the subject matter of each:

M1 The four wage bills; The anatomy of a wage bill — Sessions 01–03 · 9.1 h · Laboratory 01, 03

- **01 Four answers to one question** — four answers to one question; the appropriated wage line; the analytical wage; the central payroll, and more
- *Lab 01 Compute the four wage bills* — derive all four wage measures from the published exports yourself, and reconcile them to each other
- **02 The anatomy of a wage bill** — by level of government; by employment basis; by sector; by appropriation class, and more
- **03 What a pay decision commits** — what a pay award costs; appropriation is not outturn; what a wage projection needs
- *Lab 03 Cost a pay award* — cost the same award four ways and establish which number belongs in which document

M2 The rest of the recurrent budget — Sessions 04–05 · 6.9 h · Laboratory 02, 04

- **04 The non-wage line is not non-wage spending** — the non-wage line is not non-wage spending; the recurrent budget, decomposed; where the non-wage recurrent money goes; the largest items in the whole budget

- *Lab 02 Decompose the recurrent budget* — establish what the recurrent appropriation actually buys, and how much of it is a decision
- **05 How much of a recurrent budget is a decision** — how much of a recurrent budget is a decision; recurrent spending by sector; maintenance: the recurrent that protects capital; the maintenance shortfall, from the MTEF
- *Lab 04 Read the maintenance position* — establish what this budget spends on asset preservation, and what can and cannot be concluded from it

M3 The forward call — Session 06 · 3.7 h · Laboratory 05

- **06 The forward call** — the recurrent consequence of a capital decision; the establishment decision nobody records; what a wage projection needs; the coefficient side
- *Lab 05 Trace the forward call* — establish what this year's decisions commit next year's recurrent budget to, and where the estate computes it

M4 The sectors — Sessions 07–08 · 3.4 h · Laboratory 02, 05

- **07 The sectors I — central and the social sectors** — central government; education, health and population
- **08 The sectors II — networks and productive sectors** — transport, energy, water and ICT; agriculture, industry, trade, minerals and tourism; poverty, climate and monitoring

M5 Practice — Sessions 09–10 · 4.9 h · Laboratory 05–06

- **09 The acquisition programme** — the acquisition programme
- **10 Reporting a wage bill honestly** — ten common errors; the laboratories; five cases; the acquisition programme, and more
- *Lab 06 Report a wage bill honestly* — write the wage paragraph a ministry could publish, and the one it could not

What a graduate can do

1. Name the four wage measures, compute each from a published budget, and say which question each answers.
2. Explain why an appropriated wage line understates a wage bill, and quantify the difference.
3. Distinguish a central payroll from a wage grant, and say what follows for every containment measure.
4. Compute compensation of employees and name the items it adds.
5. Report a wage figure under an eight-element contract without hedging.
6. Split a wage bill by level of government, employment basis, sector and appropriation class.
7. Read a sector wage share as a composition rather than a verdict, and name what would make it one.
8. Cost a pay award on four factors and identify the full-year effect.
9. Name the five drivers of a wage path and explain why omitting grade drift biases a projection.
10. Explain why a non-wage recurrent appropriation is a multiple of non-wage recurrent spending.

The 16 formal learning outcomes, and the map from each to the assessment that tests it, are in 12_LMS/learning_outcomes.md.

Assessment

Component	Weight	What it is
Knowledge quizzes	15 %	81 items across 10 modules
Laboratory exercises	30 %	6 laboratories, equally weighted, marked on method, interpretation, honesty about limits and communication
Applied assignments	25 %	compute and reconcile the four wage bills; decompose the recurrent budget; cost a pay award four ways; the maintenance position and the acquisition case
Final assessment	30 %	Three hours, open book: definitions and structure; calculation; interpretation; reporting

Pass 60 % overall and 60 % laboratory competency. Merit 70 %. Distinction 80 %. One resubmission of a single failed component within eight weeks. A laboratory is not complete until every validation check has been recorded with its actual value: an unchecked result is no result.

Materials and set-up

A 130-page technical manual; 10 lecture decks and 6 laboratory decks; a laboratory manual, instructor guide and learner workbook; a 81-item quiz bank, 4 assignments and a final assessment with its marking guide; 8 datasets; 5 code exercises; 5 case studies; and the lms package. The README lists every file.

Every figure in this course is traceable to a published source or a committed model output; the sources are registered in `COURSE_VERSION.json` and the limitations in `COURSE_BUILD_REPORT.md`. Laboratories need only the extracts shipped in `08_Data/`.

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